

THE THESIS IN ONE LINE

Cheapest pure-ish MLCC name: revenue +45% YoY, 21.7x forward, -41% from high

▲ BULL — why it could be worth it

- MLCC 46% of sales; book-to-bill >1.8 [ATTRIBUTED]
- Aug revenue +45.5% YoY, best since Nov-2018 [ATTRIBUTED]
- CEO: tightness may last into 2028 [ATTRIBUTED]
- Fwd P/E 21.7x, lowest of the pure plays [FACT]

▼ BEAR — why it might not

- Commodity mix; fell 68-83% in past busts [FACT]
- Thin coverage (one broker TP NT\$480) [ATTRIBUTED]
- Net debt ~NT\$13bn [ATTRIBUTED]
- Capacity +10-15% a year: adds into the peak [ATTRIBUTED]

THE SINGLE DRIVER TO WATCH

Monthly revenue MoM through 4Q (seasonally weak).

VALUATION

Fwd P/E 21.7x; EV/EBITDA 27.3x; Masterlink TP NT\$480 [ATTRIBUTED].

ENTRY / LEVELS

Pair with Yageo: same signal, cheaper; exit on 3 straight MoM declines.

WHAT WOULD FLIP THE CALL

Price hikes fail to reach direct customers; consumer slump.